Beyond the Balance Sheet

Analysing Effective Tax Rate Volatility and Deferred Tax Recognition at Tata Motors
Consolidated Tata Motors Group, FY2022-23 to FY2024-25 | ₹ crore | Companion workbook: Tata_Motors_Corporate_Tax_Analysis.xlsx

1. Executive summary

Question. How did tax-reconciliation items and deferred tax recognition shape Tata Motors Group's reported income tax expense and effective tax rate (ETR) over three years? **Answer in one line:** the ETR moved from 20.7% to −13.8% to 27.4% mainly because of *deferred tax* - recognising tax assets on past losses in FY24, then using them up in FY25 - while *current tax* was comparatively steady.

- **ETR (total basis, same scope as the reconciliation):** 20.7% (FY23), −13.8% (FY24: a net tax *credit* on a profit) and 27.4% (FY25; 31.1% if only continuing operations are counted). Profit before tax rose from ₹3,394 crore to ₹27,955 crore to ₹38,755 crore.
- **Deferred tax drove the swing.** Current tax: ₹3,258 → ₹4,937 → ₹5,023 crore. Deferred tax: −₹2,554 → −₹8,789 → ₹5,479 crore (negative = credit) [S5, S8].
- **The FY24 credit.** Tax at entity-level rates was ₹7,587 crore, but deferred tax assets recognised and previously unrecognised losses used reduced it by ₹13,142 crore. Without those items the FY24 ETR would have been about 33.2% (analyst measure). JLR alone recognised ₹7,093.77 crore (£659 million) of deferred tax assets on unused losses [S5, Note 22].
- **FY25 looks 'normal'.** DTA and loss items netted to only ₹−251 crore; the ETR of 27.4% compares with a blended entity-rate of 25.0%.
- **Accounting is not cash.** In FY24 the group booked a ₹3,852 crore tax credit yet paid ₹4,516 crore of income tax (net); in FY25 it paid ₹3,991 crore against a ₹10,606 crore expense [S8]. The FY25 Tax Transparency Report (₹38,892 crore, 8.8% of revenue) is a separate cash-based measure and is deliberately kept out of the ETR [S9].
- **Discrepancies found and handled openly.** FY23 PBT of ₹3,057.55 crore vs ₹3,393.93 crore is fully explained by ₹336.38 crore of share of profit of joint ventures and associates. The FY23 ETR exists in three versions (23.0%, 20.7%, 20.0%) and the 20.0% could not be reproduced. The FY23 reconciliation list supplied contained an out-of-period item (₹1,282.92 crore). FY25 note-level figures could not be checked against the FY25 annual report (Section 8).

2. Research question and objectives

Research question: How did tax-reconciliation items and deferred tax recognition influence Tata Motors Group's reported income tax expense and ETR across FY2022-23 to FY2024-25?

- Calculate comparable ETRs from clearly defined, consistently scoped profit-before-tax (PBT) and tax figures.
- Resolve or document the FY23 comparative PBT and ETR inconsistencies; separate continuing from discontinued operations.
- Explain the effect of deferred tax asset (DTA) recognition, tax losses, undistributed earnings and other reconciling items.
- Distinguish accounting tax expense from cash tax contributions, and avoid misleading ratios when PBT or tax is negative.
- Record every unresolved issue; make no allegation of avoidance or non-compliance.

3. Data sources and methodology

All figures are in ₹ crore for the consolidated Tata Motors Group. Primary sources are the company's Integrated Annual Reports (IARs), the Q4 FY25 audited results and the FY25 Tax Transparency Report; full references are in Section 10 and in the workbook's *Source_Register*. Each figure in the workbook carries a Source ID, a note/page reference and a verification status.

Evidence	Status in this project
FY23 and FY24 PBT, tax, current/deferred split, reconciliations (FY24 IAR Note 22 incl. FY23 comparatives), deferred tax by geography, JLR and holding-company DTA amounts	Verified against official-report text; reconciliations tie exactly to reported tax [S2, S4, S5, S6]
FY25 total PBT (₹38,755 cr), total tax (₹10,606 cr), balance-sheet net DTA, cash tax paid	Verified in Q4 FY25 audited results [S8]
All Tax Transparency Report figures	Verified; every sub-total re-adds [S9]
FY25 reconciliation lines, DTA/DTL (₹30,876 cr / ₹25,369 cr), unrecognised DTA, undistributed profits	**User-supplied, not verified**: FY25 IAR could not be read (file-size limit). Reconciliation lines do sum exactly to the verified ₹10,606 cr [S7]

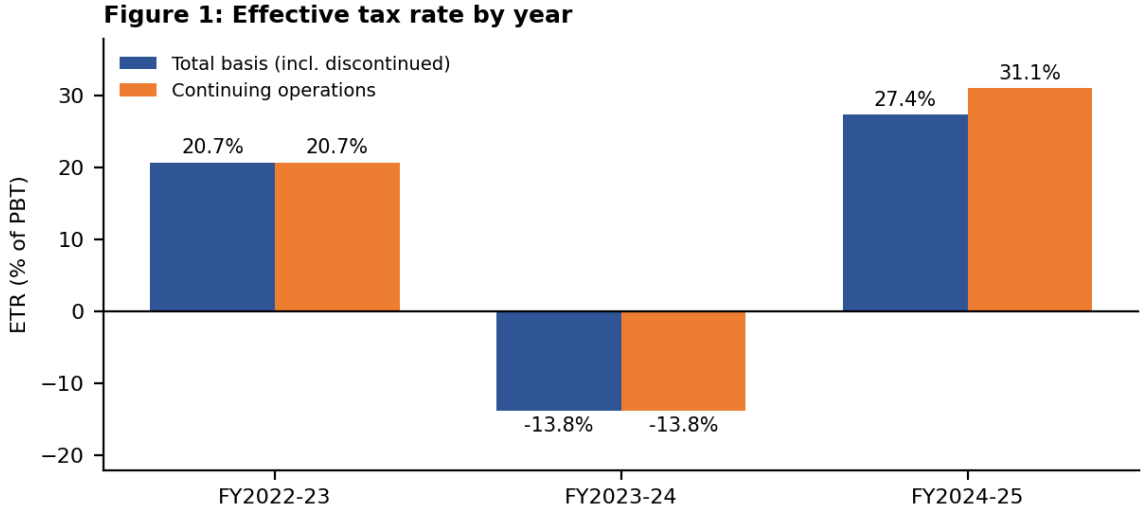
Method. (1) **ETR = total income tax expense ÷ profit before tax**, shown as *n.m.* if PBT ≤ 0 and flagged when tax is a net credit. (2) The **primary series is the 'total basis'** (including FY25 discontinued operations) because the FY25 reconciliation and the FY24 comparatives are on that basis; the continuing-operations ETR is shown beside it. (3) FY23 uses the FY24-IAR comparative PBT (₹3,393.93 crore) so all three years include the share of equity-accounted investees' profit; the original FY23 basis is shown as a sensitivity. (4) Reconciling items keep the signs printed in the reports (positive increases tax expense). (5) Each reconciling item is converted to **percentage points of PBT** and grouped into six analyst categories so that the bridge adds exactly to the ETR. (6) Sums, signs and scope are tested by live check formulas in the workbook (zero failures).

4. Three-year consolidated tax expense and ETR

₹ crore	FY2022-23	FY2023-24	FY2024-25
Profit before tax - continuing operations (comparable basis)	3,393.93	27,955.11	33,780.00
Current tax	3,258.35	4,937.13	5,023.00
Deferred tax (negative = credit)	−2,554.29	−8,788.77	5,479.00
Total tax expense/(credit) - continuing operations	704.06	−3,851.64	10,502.00
Discontinued operations: PBT / tax	-	-	4,975 / 104
Total PBT incl. discontinued operations	3,393.93	27,955.11	38,755.00
Total tax expense/(credit) incl. discontinued operations	704.06	−3,851.64	10,606.00
ETR - total basis (primary)	**20.7%**	**−13.8%**	**27.4%**
ETR - continuing operations	20.7%	−13.8%	31.1%
Current tax ÷ PBT (continuing)	96.0%	17.7%	14.9%
Deferred tax ÷ PBT (continuing)	−75.3%	−31.4%	16.2%
Change in total-basis ETR vs prior year (pp)	n/a	−34.5	+41.1

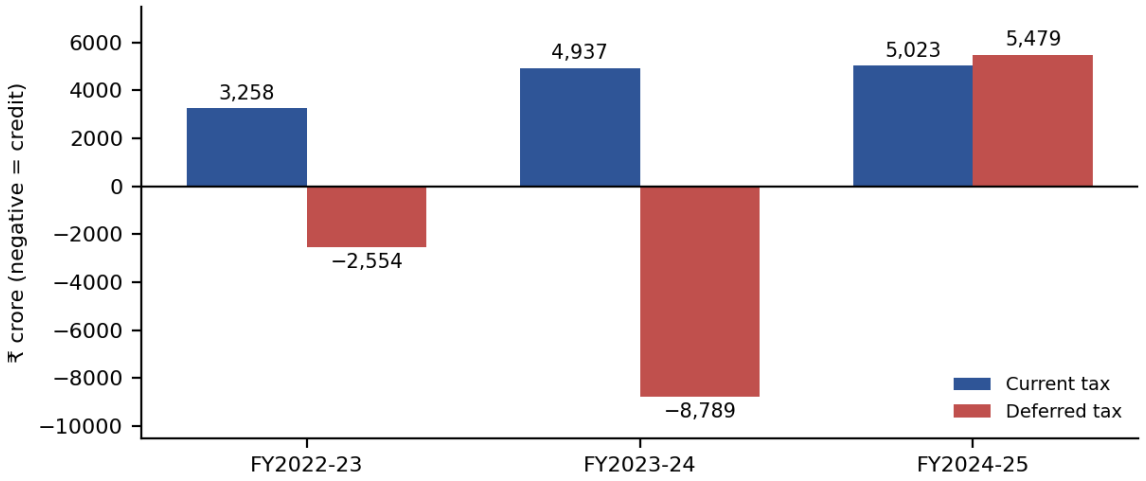
Source: workbook sheets Tax_Expense_Data and ETR_Analysis; FY23/FY24 [S2, S4, S5]; FY25 totals [S8], FY25 components user-supplied [S14]. FY25 amounts are disclosed to the nearest crore.

Figure 1: Effective tax rate by year



Reading the ETR correctly. The FY24 figure of −13.8% is not a 'negative tax rate' that anyone pays; it is the mechanical result of a tax *credit* (₹3,852 crore) on a positive profit. The workbook therefore flags it ('Caution: net tax credit') and treats the FY2021-22 comparator - a ₹7,003.41 crore pre-tax *loss* with a ₹4,231.29 crore tax credit [S2] - as *n.m.* rather than computing a ratio.

Figure 2: Current vs deferred tax (continuing operations)



Current tax rose 51.5% in FY24 as profits surged, then only 1.7% in FY25, whereas deferred tax moved by ₹6,234 crore (more negative) and then ₹14,268 crore (back to a charge). Current tax is an accrual-based measure of tax on the year's taxable profits; deferred tax captures timing differences and the recognition or use of tax losses and credits. Group tax is computed *entity by entity* [S5, Note 22 policy], so a loss in one jurisdiction cannot shelter profit in another - which explains why FY23 current tax (96% of PBT) looked heavy while deferred credits pulled the net rate back down.

Resolving the FY2022-23 discrepancies
PBT: the FY23 IAR reports consolidated PBT of ₹3,057.55 crore [S2, p.142]; the FY24 IAR's FY23 comparative is ₹3,393.93 crore [S4, S5]. The difference, ₹336.38 crore, equals the share of profit of joint ventures and associates shown on a separate line in both Board's Reports; the FY24 IAR presents PBT after including it (check cell = 0). **ETR:** three values exist: **23.0%** (₹704.06 ÷ ₹3,057.55, FY23 IAR basis), **20.7%** (÷ ₹3,393.93, comparable basis) and **20.0%** (stated in the FY24 MD&A; for FY23 [S6]). The 20.0% would need a PBT of about ₹3,520 crore, which no report discloses, so it is not reproducible and is recorded as an open item; the same MD&A;'s -13.8% for FY24 does reproduce. Note: the brief places the 20.0% in the FY23 MD&A; it was found in the FY24 MD&A.; This analysis uses 20.7% for comparability and shows the others openly. The reason for the presentation change is inferred from numbers that match to the paisa, not from a located disclosure.

FY2024-25 scope. Continuing-operations tax of ₹10,502 crore plus discontinued-operations tax of ₹104 crore equals the ₹10,606 crore total [S8]; the ₹104 crore is a scope difference, not an error. ETR is 31.1% (continuing: ₹10,502 ÷ ₹33,780), 27.4% (total: ₹10,606 ÷ ₹38,755) and 2.1% for discontinued operations alone (₹104 ÷ ₹4,975). Always state the scope when quoting an ETR: the two FY25 figures answer different questions.

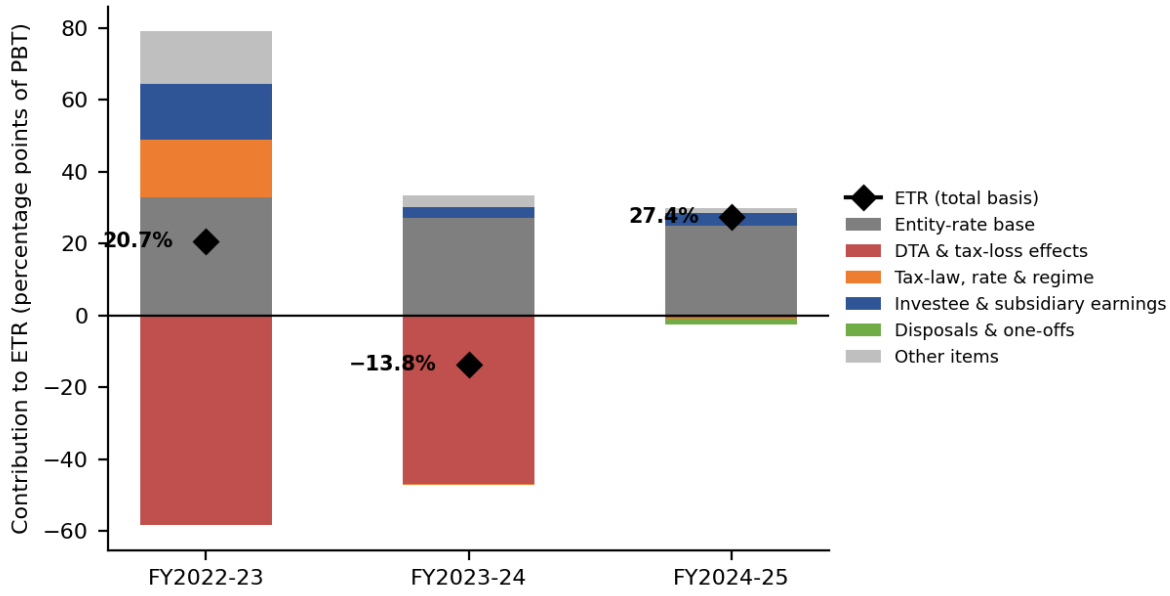
5. Tax-reconciliation drivers

A tax reconciliation starts from what tax would be if every group entity were taxed at its own statutory rate on its accounting profit, then lists the items that make actual tax expense different. It is the most direct evidence of *why* the ETR is what it is. Each line is converted to percentage points of PBT, so the lines add up exactly to the ETR.

₹ crore	FY23	FY24	FY25	FY23 pp	FY24 pp	FY25 pp
A. Tax at applicable entity rates (base)	1,117	7,587	9,698	32.9	27.1	25.0
B. DTA & tax-loss effects	−1,983	−13,142	−251	−58.4	−47.0	−0.6
C. Tax-law, rate & regime changes	542	−81	−108	16.0	−0.3	−0.3
D. Investee & subsidiary earnings	527	867	1,320	15.5	3.1	3.4
E. Disposals & one-offs	0	0	−629	0.0	0.0	−1.6
F. Other permanent / other items	502	917	576	14.8	3.3	1.5
Total = tax expense / ETR	**704**	**−3,852**	**10,606**	**20.7**	**−13.8**	**27.4**

Categories are analyst groupings of the reported lines (workbook: Tax_Reconciliation, column C). FY23 base: PBT ₹3,393.93 cr; FY24: ₹27,955.11 cr; FY25: ₹38,755 cr (incl. discontinued). Sources: [S5] FY23/FY24; FY25 lines user-supplied, total tied to [S8].

Figure 3: What built each year's ETR (reconciliation categories, pp of PBT)



Driver 1 - DTA and tax-loss effects (largest). These items cut the FY23 rate by 58.4 pp, the FY24 rate by 47.0 pp, and the FY25 rate by under 1 pp. The FY24 lines are 'DTA recognised on unabsorbed depreciation, tax losses and other credits' (−₹8,530.67 crore) and 'previously unrecognised tax losses and other benefits utilised' (−₹5,094.69 crore), partly offset by DTA not recognised (+₹483.74 crore) [S5].

Driver 2 - the entity-rate base. Tax at applicable entity rates fell as a share of PBT from 32.9% to 27.1% to 25.0%. A high base in FY23 reflects profits earned in taxed entities while losses elsewhere generated no recognised benefit; the base converges towards the mid-20s as profitability broadens. (An interpretation - entity-level data are not disclosed.)

Driver 3 - investee and subsidiary earnings. The tax line on earnings of subsidiaries, joint operations and equity-accounted investees grew from ₹602.29 crore to ₹1,043.29 crore to ₹1,392 crore (3.4% of FY25 PBT, with the separate tax-on-investee-profit line shown in the same category). It is an add-on to the rate in every year.

Driver 4 - rate, regime and one-off items. In FY23, moving to the new tax regime added ₹522.36 crore. In FY25, a ₹629 crore reduction arose on the disposal associated with the merger of Tata Motors Finance with Tata Capital, partly offset by a ₹248 crore reversal of a prior-year DTA following an amendment to capital-gains tax calculation, and statutory rate changes of −₹356 crore (FY25 lines user-supplied).

Out-of-period item removed from FY23
The FY23 list in the brief included 'profit on sale of passenger vehicle undertaking in FY2021-22' (₹1,282.92 crore). With it, the 12 named items total ₹1,494.74 crore - ₹790.68 crore more than reported FY23 tax of ₹704.06 crore. The list ties **exactly** once that item is excluded and two FY23-column lines disclosed in the FY24 IAR comparatives are added (tax on investee profit −₹75.76 crore; Others +₹568.00 crore): 1,282.92 − 492.24 = 790.68, residual nil. The line is therefore treated as a FY2021-22 comparative and excluded; this is a high-confidence inference awaiting confirmation against the original FY23 table.

6. Deferred tax asset recognition and recoverability

Key concepts in plain language.

Term	Meaning	Why it matters here
Current tax	Tax on the year's taxable profit under tax law.	Stable across FY24-FY25; roughly what is payable for the year.
Deferred tax	Tax effect of timing differences between accounting and tax, and of carried-forward losses/credits.	Source of the ETR swings.
Deferred tax asset (DTA)	A future tax saving, recognised only to the extent future taxable profit is *probable* (Ind AS 12, which follows IAS 12).	Recognition is a judgement and creates a tax credit in the P&L.;

Term	Meaning	Why it matters here
Unabsorbed depreciation / tax losses	Deductions not yet used against profit; can be carried forward under tax law.	Raw material for DTAs; FY25 unrecognised: ₹397 cr and ₹581 cr tax effect (user-supplied).
Undistributed earnings	Profits retained in subsidiaries/investees. A deferred tax liability is not recognised where the parent controls the timing of distribution and reversal is not probable in the foreseeable future.	₹48,005 cr → ₹62,108 cr (+29.4%) of subsidiary profits carry no recognised DTL (user-supplied).

What happened in FY24. JLR reviewed assets that it had previously *not* recognised because it had consistently generated taxable losses; it concluded that future taxable profits were now probable and recognised DTAs of ₹7,093.77 crore (£659 million). The key assumptions are wholesale volumes, variable profit per unit and investment [S5, Note 22]. JLR's FY24 profit before tax and exceptional items was £2.2 billion versus a £(64) million loss a year earlier [S4], which is the evidence base for the judgement. Separately the holding company (Tata Motors Ltd) recognised ₹1,248.90 crore of DTAs on brought-forward business losses [S5]. Together these two disclosed amounts equal 97.8% of the group's ₹8,530.67 crore reconciliation line, so they look like components of it - but they are **not added** to the group figure because scope may overlap, and ₹188.00 crore remains unexplained.

Recoverability risk. A DTA is only as good as the forecasts behind it. If JLR's profits fell short, recognised assets could be written down and the ETR would rise; conversely, unrecognised DTAs (₹978 crore in FY25) could create future credits. Auditors identified DTA recognition as a Key Audit Matter in FY24 [S5], which shows how significant the judgement is. On the balance sheet, net DTA fell from ₹13,099 crore to ₹7,176 crore in FY25 [S8] - a ₹5,923 crore decline, directionally consistent with the ₹5,479 crore FY25 deferred tax charge as recognised assets are used (the ₹444 crore gap is unexplained and may reflect deconsolidation, OCI-related tax or FX; hypothesis only). The gross FY25 DTA (₹30,876 crore) less DTL (₹25,369 crore) gives ₹5,507 crore versus ₹7,176 crore on the balance sheet; this difference is not forced to agree and is recorded as open.

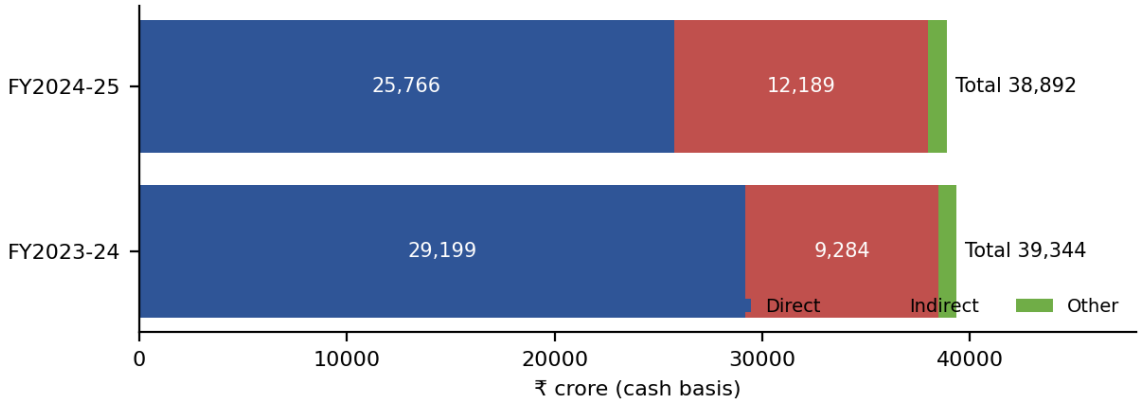
How to explain this in an interview (30 seconds)
'Tata Motors' reported tax rate swung from about 21% to a credit to about 27%. That is not because its tax bill changed that much - current tax was steady around ₹5,000 crore. It is because JLR, after returning to profit, recognised a large deferred tax asset on old losses in FY24, creating a one-off credit, and in FY25 those assets started being used. So the ETR measures accounting recognition, not cash cost, and you have to read it with the reconciliation and the cash tax paid.'

7. Interpretation of the findings

- **ETR is a poor single-year indicator here.** Recognition of large DTAs and loss utilisation moved the ETR by 47 pp in FY24 alone. FY25, with little DTA noise, is the best guide to underlying tax cost: about 27% in total (25% blended entity rate plus add-ons for investee earnings and non-deductibles, less rate-change and disposal items).
- **Accounting versus cash.** Cash income tax paid (net) was ₹4,516 crore in FY24 (16.2% of PBT) and ₹3,991 crore in FY25 (10.3%) [S8]. These are not ETRs: cash flows include timing, prior-year settlements and refunds, and deferred tax is non-cash.

Tax Transparency Report - a different concept. The report measures what the group pays or collects for governments on a cash basis across direct, indirect and other contributions [S9]. Corporate income tax is only one component, shown net of refunds and can include prior-year payments [S9, p.9]. It must not be compared with income tax expense or the ETR.

Figure 4: Tax Transparency Report - global tax & other contributions



Total contributions were ₹39,344 crore (FY24) and ₹38,892 crore (FY25), 9.1% and 8.8% of revenue (reported as 9% in both years). Direct contributions fell 11.8% while indirect rose 31.3%; JLR accounts for ₹15,379 crore of FY25 direct contributions against ₹19,345 crore in FY24 [S9, p.8]. Because 'direct' includes net indirect taxes such as GST, customs duty and VAT as well as corporate tax, no conclusion about corporate income tax should be drawn from these movements.

No inference of wrongdoing. The reconciling items are standard Ind AS 12 disclosures arising from losses, recognition judgements, rate changes and group structure, and the reconciliations tie exactly to reported tax. The company's report states a policy of no artificial structuring and no use of tax havens [S9, p.3]; that is the company's own statement and was not tested here. Public disclosures cannot establish compliance, intent or tax positions.

8. Limitations and unresolved discrepancies

ID	Issue	Status	Outstanding
V02	FY23 ETR: 23.0% / 20.7% / 20.0%. The 20.0% (FY24 MD&A;) is not reproducible; the brief attributes it to the FY23 MD&A.;	Open	Check FY23 MD&A; text; ask what PBT base 20.0% uses.
V01	FY23 PBT 3,057.55 vs 3,393.93: explained by 336.38 share of JV/associates.	Resolved (caveat)	Locate the FY24 IAR presentation-change wording.
V03	FY23 reconciliation list: out-of-period ₹1,282.92 cr item; two FY23 lines missing.	Resolved (caveat)	Confirm vs original FY23 note table.
V10	JLR + holding-company DTA = 97.8% of the group line; 188.00 cr unexplained; amounts not additive.	Open	Read Note 22 footnotes in full.
V11	FY25 note DTA − DTL = 5,507 vs balance-sheet net DTA 7,176.	Open	Read FY25 table and balance-sheet DTL (net).
V13	FY25 IAR could not be read; FY25 note-level lines user-supplied.	Open	Re-verify each FY25 line; record note/page.
V15	FY24 comparative for continuing operations may be restated in the FY25 IAR (a third-party aggregator shows different figures; not used).	Open	Obtain restated FY24 continuing PBT and tax.
V19/V20	Corporate-tax-only cash amount not extracted; some URLs/pages unconfirmed (FY25 URL path '/2024/05/' looks unusual).	Open	Confirm on the annual-reports page.

Other limits: the group ETR blends many jurisdictions and entity-level rates are not disclosed; 'ETR before DTA effects' and the category groupings are analyst constructs, not reported measures; FY25 figures are rounded to the nearest crore. The workbook's Validation_Issues sheet holds all 21 checks and their live results (0 arithmetic failures).

9. Conclusion

Tata Motors' reported ETR over FY2022-23 to FY2024-25 (20.7%, −13.8%, 27.4%) is best understood as the output of accounting judgements about deferred tax assets layered on a fairly stable current-tax charge. The FY24 credit came from recognising assets on historic losses - chiefly at JLR once forecasts supported future taxable profit - and the FY25 charge from starting to use them, so the ETR should be read with the reconciliation, deferred tax disclosures and cash tax paid rather than as a stand-alone measure of tax cost. Where the sources disagreed or could not be read, the analysis shows the alternatives and logs the question rather than choosing silently. The main residual risks are the verification gap on FY25 note-level data and the unreproduced FY23 ETR of 20.0%.

10. Official source references

ID	Document and URL	Note / page reference	Checked
S1	Tata Motors 78th Integrated Annual Report 2022-23. https://www.tatamotors.com/wp-content/themes/TataMotors/pdf/78th-annual-report-2022-2023.pdf	Consolidated income taxes note (number not confirmed)	URL not opened
S2	78th IAR - Statutory Reports (Board's Report). https://www.tatamotors.com/financials/78-ar-html/pdf/Tata-Motors-IR-2022-23-Statutory-Reports.pdf	Board's Report p.142 (consolidated PBT, tax, JV share)	Text verified
S3	Tata Motors 79th Integrated Annual Report 2023-24. https://www.tatamotors.com/wp-content/uploads/2024/05/tata-motor-IAR-2023-24.pdf	Contents: Board's Report p.132; MD&A; p.210; Consolidated financials p.262	Opened
S4	79th IAR - Board's Report. https://www.tatamotors.com/financials/79-ar-html/pdf/tata-motor-IAR-2023-24-Boards-Report.pdf	Financial summary table (from p.132)	Text verified
S5	79th IAR - Consolidated Financial Statements. https://www.tatamotors.com/financials/79-ar-html/pdf/tata-motor-IAR-2023-24-Consolidated-Financial-Statements.pdf	Note 22 Income taxes (reconciliation, DTA footnotes 3-4); Key Audit Matter on DTA recognition	Text verified
S6	79th IAR - Management Discussion & Analysis. https://www.tatamotors.com/financials/79-ar-html/pdf/tata-motor-IAR-2023-24-Management-Discussion-and-analysis.pdf	'Tax expenses / (credit)' paragraph (MD&A; from p.210)	Text verified
S7	Tata Motors 80th Integrated Annual Report 2024-25. https://www.tatamotors.com/wp-content/uploads/2024/05/tata-motor-IAR-2024-25.pdf	Income taxes note, deferred tax tables (not read; note/page unconfirmed)	Could not read (size error)
S8	Consolidated Q4 FY25 Results. https://static-assets.tatamotors.com/Production/www-tatamotors-com-NEW/wp-content/uploads/2025/05/TML-Consolidated-Q4-FY25-Results.pdf	P&L;, balance sheet (net DTA), cash flow (income tax paid) - page numbers not captured	Text verified
S9	Tax Transparency Report 2024-25. https://www.tatamotors.com/wp-content/uploads/2025/05/TML_Tax-Transparency-Report-FY25_21052025_V4.pdf	p.2 summary; pp.7-8 categories and business split; p.9 basis of preparation; p.3 tax approach; p.13 assurance	Read in full
S10	Official annual reports page. https://www.tatamotors.com/annual-reports/	Index	Not opened

Secondary cross-checks only (not used in calculations): StockAnalysis.com Tata Motors financials; Equitymaster Tata Motors 2022-23 and 2023-24 annual-report analyses. [S14] denotes figures supplied in the project brief. All accessed 13 October 2026; the full register with verification status is in the workbook.